

## PORTFOLIO SUCCESS AND MARKET EXCESS

Our portfolio exhibited mixed success in terms of market excess, with some investments outperforming market expectations while others faced challenges. For instance, our strategic decision to invest in **Rockstar Games**, driven by the anticipation surrounding the release of **GTA 6**, initially positioned us to capitalize on market enthusiasm. However, the lack of timely updates regarding the game resulted in a failure to sustain momentum, highlighting the importance of managing expectations and reacting promptly to market shifts. Similarly, our investment in **Reddit's IPO** demonstrated promising initial performance but later faced headwinds, underscoring the inherent **volatility** of newly public companies and the need for vigilance in **risk management**. Despite these challenges, our portfolio's ability to adapt to changing market conditions and mitigate losses contributed to its resilience in the face of adversity.

## RISK-ADJUSTED RETURNS

In terms of risk-adjusted returns, our portfolio exhibited a nuanced performance. While certain investments delivered robust returns relative to their associated risks, others faltered, underscoring the inherent unpredictability of the market. For example, our decision to invest in **Astera Labs' IPO**, guided by the company's promising prospects in **AI chip design** and strategic partnerships, yielded favorable returns relative to the perceived risks. Conversely, our investment in **JetBlue**, premised on the potential acquisition by **Spirit Airlines**, faced **regulatory hurdles** that ultimately dampened returns. Overall, our portfolio's performance underscored the importance of balancing risk and reward and the necessity of **dynamic risk management strategies** to enhance risk-adjusted returns.

## PERCEIVED TIMING AND SELECTION STRENGTHS OR WEAKNESSES

Reflecting on our portfolio's performance, it is evident that our timing and selection strengths varied across investments. For instance, our decision to invest in **Rockstar Games** ahead of the anticipated release of **GTA 6** demonstrated **astute timing**, capitalizing on market enthusiasm and positioning us for potential gains. However, the lack of timely updates regarding the game's release tested our patience and highlighted the inherent uncertainties associated with timing-based strategies. Similarly, our investment in **Astera Labs' IPO** showcased our ability to identify and capitalize on **emerging trends**, leveraging our understanding of AI technology's growth potential. Conversely, our investment in **JetBlue** revealed the challenges of navigating regulatory hurdles and the importance of conducting thorough **due diligence** before committing to an investment. Moving forward, we recognize the need to refine our timing and selection criteria, emphasizing a disciplined approach grounded in comprehensive research and **risk assessment**.

## PROJECT SYNOPSIS AND TRADE ANALYSIS

A total of **31 trades** were executed during the duration of the project, generating a profit of approximately **\$106,000** on a **\$1,000,000 portfolio value** and ultimately securing the **first position in the class**. The total commission paid for these 31 trades was **\$310**, equating to a **\$10 commission per trade**. This commission cost is highly negligible, representing just **0.0029 percent** of the total profit, especially considering that trade sizes ranged from **\$100,000 to \$300,000**. Furthermore, the portfolio generated **\$2,500 in interest** on cash balances.

While a **\$106,000 return** over a 60-day period is a strong outcome, managing an active \$1,000,000 portfolio could have easily supported a higher volume of trades. Looking back, nearly all trades resulted in a profit, but a more aggressive, active approach to optimizing exits would have further maximized gains. Across the entire portfolio, our baseline strategy utilized a strict **1:2 risk-to-reward ratio**.

An elite example of technical entry, intermediate **position scaling**, and intermarket confirmation was executed with the **Reddit (RDDT) IPO**. Drawing on years of active trading experience, I closely monitored the stock immediately upon its public debut. I utilized **15-to-30-minute candlesticks** to accurately determine a high-probability entry point. After identifying a clear **double bottom formation**, I correlated this signal with the broader **market indices**, which confirmed a universally **bullish day**. I executed the long entry at **Point 1** near the \$44 low, utilizing a loose **stop-loss range below \$43** to absorb anticipated volatility.

As the stock surged, I executed a partial exit at **Point 2**. My strategy was to sell **50 percent of the position** to lock in immediate **profit** and dramatically reduce the net risk on the remaining shares. I continued to hold the remaining half because the major **indices (including the Sensex)** remained in a strong **bull run**. Since the stock was not moving against the **indices**, the intermediate trend was confirmed. This final position was held until **Point 3**, where I executed the complete exit immediately following the negative **Bloomberg news report** concerning the company's revenue-based valuation. This strict discipline in locking in intermediate gains while allowing the remaining position to ride the macro-confirmed trend was instrumental in the portfolio's **first-place success**.

## APPENDIX A: RDDT TECHNICAL ANALYSIS & POSITION MANAGEMENT CHART



### (1) Technical Double Bottom & Bullish Index Confirmation Entry (2) Intermediate Profit-Taking & Risk Reduction (50% Position Scaled Out) (3) Fundamental News Catalyst Exit (Bloomberg Valuation Report)

#### SHORT-TERM AND LONG-TERM STRATEGY

In the short term (6 months), our strategy will focus on optimizing portfolio resilience and capitalizing on **emerging market opportunities**. Specifically, we will actively research **upcoming IPOs**, closely monitor their fundamentals and earnings reports, and allocate approximately **33 percent** of our portfolio value to acceptable public offerings. The remaining **66 percent** will be allocated to other equities, maintaining the **active trading approach** executed during this project. We aim to enhance diversification across sectors and asset classes, ensuring a balanced risk-return profile. Additionally, we will prioritize active monitoring of market developments and timely adjustment of our investment positions to mitigate downside risks and seize profitable opportunities.

Over the long term (5 years), our strategy will pivot towards **sustainable growth** and **value creation**. We plan to refine our investment approach, incorporating lessons learned from past experiences and leveraging emerging trends to identify **high-growth sectors** and companies with long-term potential. Furthermore, we will emphasize the importance of

**disciplined risk management** and **portfolio rebalancing** to navigate evolving market dynamics and achieve our long-term financial objectives.